

READING PASSAGE 2

You should spend about 20 minutes on **Questions 14-26**, which are based on Reading Passage 2 below.

Early Approaches to organisational design

A review of the classical and neoclassical theories of organisational structures

Determining the "best" type of organisational structure for a particular situation has long been an important task for managers in all types of organisations. All structures have advantages and disadvantages and managers can judge the challenge of developing the most appropriate design for changing circumstances.

The Classical Approach

Early management writers attempted to approach organisational design using a set of principles that would make an organisational structure perform efficiently in most situations, independent of external conditions and internal objectives. The sociologist Max Weber and management writers Frederick Taylor and Henri Fayol were major contributors to this so-called classical approach. They believed that the most efficient organisations had a large formal and hierarchical structure called a 'bureaucracy'. Members of the organisation were guided by a sense of duty to the organisation and by a set of rational rules and regulations. According to Weber, such organisations were characterised by the specialisation of tasks, appointment by merit, and an impersonal climate.

Today, the word "bureaucracy" sometimes has negative connotations. Early management writers, however, commended bureaucracy as an organisational design for its rationality, rules for decision-making, clear chain of command, and promotion of people based on ability and experience, rather than favouritism or whim. Weber also believed that clearly specified authority and responsibility would ensure everyone to evaluate and reward.

Weber, Taylor and Fayol developed their theories when organisations that resembled this bureaucratic model were more modern and efficient. It became evident, however, that some of the major advantages of the bureaucratic structure could become disadvantages if the theory were applied dogmatically. For example, the safeguards against favouritism could rigidly imposed by adhering excessively to rules, resulting in both managers and subordinates becoming depersonalised.

The classical approach has been criticised from two major perspectives. First, the theory may not have a basis in reality. Have organisations like those described by Weber and others ever existed? Second, it claims that organisations designed and managed according to bureaucratic principles enjoy the predicted benefits. But critics

argue that the world no longer fits the assumptions in Weber's model (if it ever did), and so a bureaucracy might not yield beneficial results.

Early human relations researchers and behavioural scientists attempted to deal with the major inadequacy of the classical bureaucratic model: neglect of the human element. They argued that an industrial organisation has two objectives: economic effectiveness and employee satisfaction. They also wrote that the bureaucratic structure could be improved by permitting more subordinate participation in decision-making. Because these researchers tried to improve, and not reject the classical model. They are sometimes called neoclassical theorists and include Douglas McGregor, Chris Argyris and Rensis Likert.

The Neoclassical Approach

McGregor believed that the vertical division of labour that characterised bureaucratic organisations was derived from negative and false assumptions about workers which he called 'Theory X'. Managers assume lower-level employees lack ambition and need orders to work effectively. The rigid formal hierarchy is designed to maintain managers' power over subordinates. Decision-making takes place at upper levels of management while the decisions are carried out by people at lower levels. McGregor argued that organisations based on 'Theory X' assumptions use their members' potential. Theory Y assumes that most people find work satisfying, commit themselves willingly to organisational goals and seek responsibility. Members have more independence than in bureaucratic organisations and lower-level participation in decision-making is encouraged.

Argyris was concerned that managers in bureaucratic organisations had near-total responsibility for controlling their subordinates' work. He argued that managerial domination makes subordinates passive and dependent, and decreases their sense of responsibility and self-control. Argyris argued for an alternative organisational design that acknowledged human needs and feelings, and increased workers' satisfaction. Like McGregor, he favoured giving subordinates more independence and encouraged decision-making power to create a 'more informal organisational culture'.

Likert shared the perspectives of McGregor and Argyris. In his research, he found that managers who encouraged their subordinates could motivate them more than traditional authoritarian managers. Likert based much of model on four possible systems on these findings. In System 1 power and authority are distributed strictly according to the classical management subordinate relationship; a manager gives orders to lower-level members. In System 4 organisations, by contrast, there is extensive participation in decision-making and problem-solving groups. Some individuals in each group also belong to other work groups to ensure communication between them. System 4 represents Likert's view of an ideal organisation.

Criticisms of the Neoclassical Approach

The neoclassical approach to organisational design compensates for limitations in the traditional classical model, but it has also been criticised. First, the neoclassicists share the classical assumption that there is one best way to design an organisation. They overlook environmental, technological, and other variables that might affect an organisation's design, and overemphasise psychological and behavioural variables. Second, Theory X and Y oversimplify human motivation and neglect individual differences. Not everyone is motivated by the nonmonetary aspects of work, nor is all work satisfying. Finally, the coordination of work groups to achieve organisational goals may be more difficult than the neoclassicists suggest, particularly when the objectives of lower-level employees are not consistent with those of upper-level managers.

Answers

14-15 A,D

16-17 B,E

18-19 A,D

20-21 C,E

22 B

23 D

24 A

25 C

26 A

Questions 14–15

Choose **TWO** letters A-E.

Write the correct letters in boxes 14 and 15 on your answer sheet.

According to the writer, which **TWO** of the following are characteristics of the classical approach to organizational design?

- A** a marked ranking order for employees
- B** giving importance to everyone's work
- C** the advancement of older workers
- D** a neutral working environment
- E** increased benefits for workers

Questions 16–17

Choose **TWO** letters A-E.

Write the correct letters in boxes 16 and 17 on your answer sheet.

According to the writer, which **TWO** of the following are criticisms of the classical approach to organizational design?

- A** Too many guidelines are proposed
- B** Certain practices become negative if they are implemented too strictly
- C** Managers and workers are unable to co-operate with each other
- D** The administrative standards are unsuited to some work environments
- E** Positive outcomes which were expected in the past would unlikely today

Questions 18–19

Choose **TWO** letters A-E.

Write the correct letters in boxes 18 and 19 on your answer sheet.

According to the writer, which **TWO** of the following are aims of the neoclassical approach to organizational design?

- A** to ensure workers are treated as individual people
- B** to create a formal atmosphere in the workplace
- C** to change the methods of production
- D** to allow workers a greater say in what happens at the workplace
- E** to standardise the procedures for promotion of workers

Questions 20–21

Choose **TWO** letters A-E.

Write the correct letters in boxes 20 and 21 on your answer sheet.

According to the writer, which **TWO** of the following are criticisms of the neoclassical approach to organizational design?

- A** It suggests that workers are involved in too many decisions
- B** The effects of some psychological factors are given more importance
- C** The effects of the workplace surroundings are ignored
- D** It exaggerates the success of the organisations that use this approach
- E** It assumes that all people work for enjoyment rather than financial gain.

Questions 22–26

Choose the correct letter, A-D, in boxes 22–26 on your answer sheet.

NB You may use any letter more than once.

List of people

- A** Max Weber
- B** Douglas McGregor
- C** Chris Argyris
- D** Rensis Likert

- 22.** The classical approach relied upon managers having incorrect views about workers.
- 23.** In the best organisational model, there is shared decision-making and interaction between teams at work.
- 24.** In an efficient organisation, workers develop expertise in particular areas.
- 25.** An organisation must take into account the emotional demands of people.
- 26.** The classical approach allowed workers' skills to be assessed in a straightforward way.